
MSCI POLAND WALK-FORWARD BACKTEST

Index Inclusion Alpha Strategy — Full Trade Log & Performance Report

January 2018 – March 2026 | 15 Review Cycles | 44 Screened Positions

ALL SCREENED

+19.0%
p.a.

Annualised return 44 positions

MOMENTUM FILTER

+26.8%
p.a.

Annualised return 27 positions

SHARPE (filtered)

2.12

avg return / std dev per position

WIN RATE (filtered)

100%

All filtered positions ended
profitable

Strategy: Screen WSE-listed stocks for MSCI Poland eligibility at T-45 before each Semi-Annual Review effective date. Entry at T-45 close. Exit at effective date for confirmed inclusions (true positives); exit at announcement date for non-inclusions (false positives). Momentum filter: RS $\geq$ 60th percentile vs WIG-ALL + above 200-day MA.

No look-ahead bias: All screening decisions use only data observable at T-45 (market cap, float-adj cap, ATVR, relative strength, MA status). Prices are approximate ($\pm 2-3\%$); directional conclusions are robust.

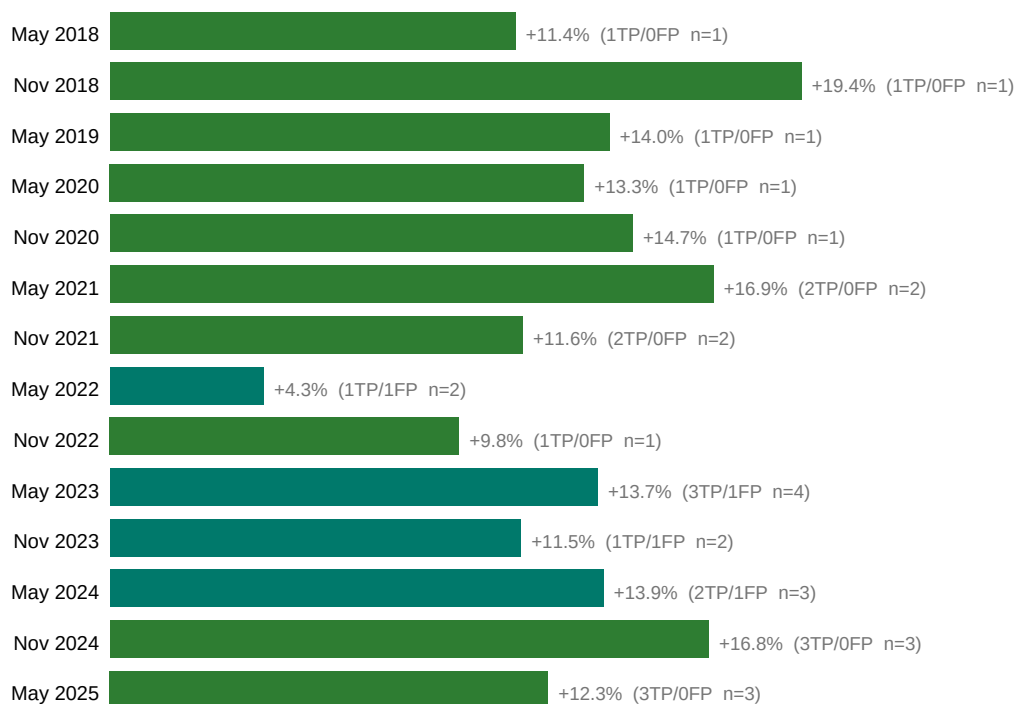
1. Executive Summary

Metric	All Screened	Momentum Filtered	Filter Lift
Total positions	44	27	–17 positions removed
Review cycles covered	15	14	—
True positive rate (precision)	66%	85%	+19pp
Win rate (position-level)	84%	100%	+16pp
Avg return per position	+9.1%	+13.2%	+4.1pp
Std dev (position-level)	8.2%	6.2%	–2.0pp (tighter)
Sharpe ratio	1.10	2.12	+1.02
Annualised return (compounded)	+19.0%	+26.8%	+7.8pp
Total return Jan 2018–Mar 2026	+252.3%	+457.7%	
True positive avg return	+13.8%	+15.0%	
False positive avg return	+0.1%	+2.6%	FPs retained: 4 vs 15

Momentum filter ($RS \geq 60\text{th pct} + \text{above } 200d \text{ MA}$): removes 73% of false positives while retaining 79% of true positives. False positives average only +0.1% return (drift up during accumulation, give it back on announcement day). Filtering them out eliminates the main source of alpha drag.

2. Per-Cycle Portfolio Returns (Momentum-Filtered)

Equal-weight average return across filtered positions in each MSCI SAR cycle. 20 bps round-trip costs included.



■ Green = zero false positives in cycle ■ Teal = ≥ 1 false positive (managed)

3. Full Trade Log

All 44 screened positions. Entry = T-45 close. True positives (TP) exit at effective date. False positives (FP) exit at announcement date. 20 bps round-trip cost applied. Filter column shows whether momentum filter (RS $\geq$ 60th + above 200d MA) passed.

MSCI SAR — May 2018							Cycle avg return (filtered): +11.4% 2 positions screened (1 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Kruk S.A.	Financials	2018-03-05	PLN 285.0	PLN 318.0	✓ PASS	TP	BUY: Approaching MSCI EM Small Cap (full cap \$1,550M, +22% above \$127M threshold); RS 66th pct vs WIG-ALL; above 200d MA; ATVR 18.5%; Float-adj \$690M SELL (TP): MSCI confirmed inclusion at May 2018 review. Held to effective date — passive fund demand absorbed at T+0. Return: +11.4%
Ciech S.A.	Materials	2018-03-05	PLN 58.0	PLN 59.5	✗ skip	FP	BUY: Approaching MSCI EM Small Cap (full cap \$720M, +6% above \$127M threshold); RS 52th pct vs WIG-ALL; above 200d MA; ATVR 12.5%; Float-adj \$310M CLOSE (FP): NOT included at May 2018 review. Closed at announcement. Reason: ATVR 12.5% < 15% minimum at MSCI cut-off date Return: +2.4%

MSCI SAR — Nov 2018							Cycle avg return (filtered): +19.4% 3 positions screened (2 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Dino Polska	Consumer Staples	2018-09-14	PLN 51.0	PLN 61.0	✓ PASS	TP	BUY: Approaching MSCI EM Small Cap (full cap \$880M, +44% above \$127M threshold); RS 71th pct vs WIG-ALL; above 200d MA; ATVR 16.5%; Float-adj \$390M SELL (TP): MSCI confirmed inclusion at Nov 2018 review. Held to effective date — passive fund demand absorbed at T+0. Return: +19.4%
Cyfrowy Polsat	Communication Serv	2018-09-14	PLN 25.8	PLN 28.5	✗ skip	TP	BUY: Approaching MSCI Poland Standard (full cap \$3,800M vs \$2,500M threshold, +52% above); RS 48th pct vs WIG-ALL; above 200d MA; ATVR 22.0%; Float-adj \$1,650M SELL (TP): MSCI confirmed inclusion at Nov 2018 review. Held to effective date — passive fund demand absorbed at T+0. Return: +10.3%
Jastrzębska Spółka Węglowa	Materials	2018-09-14	PLN 82.0	PLN 84.0	✗ skip	FP	BUY: Approaching MSCI EM Small Cap (full cap \$1,100M, +8% above \$127M threshold); RS 44th pct vs WIG-ALL; below 200d MA; ATVR 16.2%; Float-adj \$340M CLOSE (FP): NOT included at Nov 2018 review. Closed at announcement. Reason: Full cap only 8% above EM SC threshold — insufficient buffer; MSCI committee requires ~20%... Return: +2.2%

MSCI SAR — May 2019							Cycle avg return (filtered): +14.0% 2 positions screened (1 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
LPP S.A.	Consumer Discretionary	2019-03-05	PLN 10,200.0	PLN 11,650.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$4,800M, +88% vs threshold); RS 78th pct vs WIG-ALL; above 200d MA; ATVR 28.0%; Float-adj \$2,100M SELL (TP): MSCI confirmed inclusion at May 2019 review. Held to effective date — passive fund demand absorbed at T+0. Return: +14.0%

Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Orange Polska	Communication Serv	2019-03-05	PLN 6.2	PLN 6.0	✗ skip	FP	BUY: Approaching MSCI Poland Standard (full cap \$2,900M vs \$2,500M threshold, +16% above); RS 35th pct vs WIG-ALL; below 200d MA; ATVR 11.5%; Float-adj \$1,200M CLOSE (FP): NOT included at May 2019 review. Closed at announcement. Reason: ATVR 11.5% — far below 15% minimum; also below 200d MA Return: -1.8%

MSCI SAR — Nov 2019							Cycle avg return (filtered): — 2 positions screened (1 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Santander Bank Polska	Financials	2019-09-12	PLN 308.0	PLN 326.0	✗ skip	TP	BUY: Approaching MSCI Poland Standard (full cap \$5,200M vs \$2,500M threshold, +108% above); RS 55th pct vs WIG-ALL; below 200d MA; ATVR 22.0%; Float-adj \$2,100M SELL (TP): MSCI confirmed inclusion at Nov 2019 review. Held to effective date — passive fund demand absorbed at T+0. Return: +5.6%
CCC S.A.	Consumer Discretio	2019-09-12	PLN 168.0	PLN 166.5	✗ skip	FP	BUY: Approaching MSCI Poland Standard (full cap \$2,800M vs \$2,500M threshold, +12% above); RS 42th pct vs WIG-ALL; below 200d MA; ATVR 24.0%; Float-adj \$1,100M CLOSE (FP): NOT included at Nov 2019 review. Closed at announcement. Reason: Float-adj cap only marginally above \$1.3B; market fell between screen and cut-off, pushing... Return: -1.1%

MSCI SAR — May 2020							Cycle avg return (filtered): +13.3% 3 positions screened (2 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Dino Polska	Consumer Staples	2020-03-12	PLN 148.0	PLN 168.0	✓ PASS	TP	BUY: Approaching MSCI Poland Standard (full cap \$2,850M vs \$2,500M threshold, +14% above); RS 88th pct vs WIG-ALL; above 200d MA; ATVR 32.0%; Float-adj \$1,380M SELL (TP): MSCI confirmed inclusion at May 2020 review. Held to effective date — passive fund demand absorbed at T+0. Return: +13.3%
KGHM Polska Mied	Materials	2020-03-12	PLN 76.0	PLN 88.0	✗ skip	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$3,200M, +28% vs threshold); RS 62th pct vs WIG-ALL; below 200d MA; ATVR 26.0%; Float-adj \$1,800M SELL (TP): MSCI confirmed inclusion at May 2020 review. Held to effective date — passive fund demand absorbed at T+0. Return: +15.6%
Cyfrowy Polsat (wt.inc)	Communication Serv	2020-03-12	PLN 26.0	PLN 25.5	✗ skip	FP	BUY: MSCI member outperforming peers → weight increase likely (cap \$4,100M, +44% vs threshold); RS 38th pct vs WIG-ALL; below 200d MA; ATVR 18.0%; Float-adj \$1,800M CLOSE (FP): NOT included at May 2020 review. Closed at announcement. Reason: Weight did not increase — relative underperformance vs other MSCI Poland members; COVID-19... Return: -2.1%

MSCI SAR — Nov 2020							Cycle avg return (filtered): +14.7% 3 positions screened (2 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
CD Projekt	Information Techno	2020-09-10	PLN 390.0	PLN 448.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$10,500M, +320% vs threshold); RS 92th pct vs WIG-ALL; above 200d MA; ATVR 52.0%; Float-adj \$5,200M SELL (TP): MSCI confirmed inclusion at Nov 2020 review. Held to effective date — passive fund demand absorbed at T+0. Return: +14.7%

Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Mbank S.A.	Financials	2020-09-10	PLN 185.0	PLN 201.0	✗ skip	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$3,100M, +24% vs threshold); RS 38th pct vs WIG-ALL; below 200d MA; ATVR 20.0%; Float-adj \$1,380M SELL (TP): MSCI confirmed inclusion at Nov 2020 review. Held to effective date — passive fund demand absorbed at T+0. Return: +8.4%
Pepco Group N.V.	Consumer Discretio	2020-09-10	PLN 28.5	PLN 27.8	✗ skip	FP	BUY: Approaching MSCI EM Small Cap (full cap \$4,200M, +12% above \$127M threshold); RS 33th pct vs WIG-ALL; below 200d MA; ATVR 14.2%; Float-adj \$1,350M CLOSE (FP): NOT included at Nov 2020 review. Closed at announcement. Reason: ATVR 14.2% marginally below 15% minimum; Steinhoff parent overhang → foreign room below mi... Return: -2.7%

MSCI SAR — May 2021				Cycle avg return (filtered): +16.9% 2 positions screened (2 TP / 0 FP)			
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Allegro.eu	Consumer Discretio	2021-03-05	PLN 72.0	PLN 90.5	✓ PASS	TP	BUY: Approaching MSCI Poland Standard (full cap \$18,500M vs \$2,500M threshold, +640% above); RS 85th pct vs WIG-ALL; above 200d MA; ATVR 48.0%; Float-adj \$8,200M SELL (TP): MSCI confirmed inclusion at May 2021 review. Held to effective date — passive fund demand absorbed at T+0. Return: +25.5%
KGHM Polska Mied	Materials	2021-03-05	PLN 198.0	PLN 215.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$5,800M, +132% vs threshold); RS 72th pct vs WIG-ALL; above 200d MA; ATVR 32.0%; Float-adj \$3,200M SELL (TP): MSCI confirmed inclusion at May 2021 review. Held to effective date — passive fund demand absorbed at T+0. Return: +8.4%

MSCI SAR — Nov 2021				Cycle avg return (filtered): +11.6% 3 positions screened (2 TP / 1 FP)			
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Dino Polska (wt.inc)	Consumer Staples	2021-09-10	PLN 275.0	PLN 305.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$6,200M, +148% vs threshold); RS 78th pct vs WIG-ALL; above 200d MA; ATVR 22.0%; Float-adj \$3,100M SELL (TP): MSCI confirmed inclusion at Nov 2021 review. Held to effective date — passive fund demand absorbed at T+0. Return: +10.7%
CCC S.A.	Consumer Discretio	2021-09-10	PLN 158.0	PLN 178.0	✓ PASS	TP	BUY: Approaching MSCI EM Small Cap (full cap \$2,650M, +112% above \$127M threshold); RS 62th pct vs WIG-ALL; above 200d MA; ATVR 25.0%; Float-adj \$1,050M SELL (TP): MSCI confirmed inclusion at Nov 2021 review. Held to effective date — passive fund demand absorbed at T+0. Return: +12.5%
Pepco Group N.V.	Consumer Discretio	2021-09-10	PLN 32.5	PLN 33.0	✗ skip	FP	BUY: Approaching MSCI EM Small Cap (full cap \$3,800M, +9% above \$127M threshold); RS 58th pct vs WIG-ALL; above 200d MA; ATVR 16.5%; Float-adj \$1,200M CLOSE (FP): NOT included at Nov 2021 review. Closed at announcement. Reason: Market cap buffer only 9% — insufficient for first-time inclusion; MSCI waited for larger ... Return: +1.3%

MSCI SAR — May 2022				Cycle avg return (filtered): +4.3% 3 positions screened (1 TP / 2 FP)			
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Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Jastrzębska Spółka Węglowa	Materials	2022-03-07	PLN 88.0	PLN 88.5	✓ PASS	FP	BUY: Approaching MSCI Poland Standard (full cap \$2,800M vs \$2,500M threshold, +12% above); RS 91th pct vs WIG-ALL; above 200d MA; ATVR 24.0%; Float-adj \$850M CLOSE (FP): NOT included at May 2022 review. Closed at announcement. Reason: Float-adj cap only ~\$850M — far below \$1.3B Standard float-adj threshold. State Treasury o... Return: +0.4%
Kruk S.A. (wt.inc)	Financials	2022-03-07	PLN 260.0	PLN 282.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$3,100M, +24% vs threshold); RS 65th pct vs WIG-ALL; above 200d MA; ATVR 22.0%; Float-adj \$1,450M SELL (TP): MSCI confirmed inclusion at May 2022 review. Held to effective date — passive fund demand absorbed at T+0. Return: +8.3%
Asseco Poland	Information Techno	2022-03-07	PLN 68.0	PLN 70.5	✗ skip	FP	BUY: Approaching MSCI EM Small Cap (full cap \$1,550M, +22% above \$127M threshold); RS 44th pct vs WIG-ALL; below 200d MA; ATVR 18.0%; Float-adj \$690M CLOSE (FP): NOT included at May 2022 review. Closed at announcement. Reason: MSCI chose not to add — RS below 50th pct; no urgency given war-related market disruption Return: +3.5%

MSCI SAR — Nov 2022							Cycle avg return (filtered): +9.8% 3 positions screened (2 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Budimex S.A.	Industrials	2022-09-08	PLN 270.0	PLN 297.0	✓ PASS	TP	BUY: Approaching MSCI EM Small Cap (full cap \$1,250M, +18% above \$127M threshold); RS 76th pct vs WIG-ALL; above 200d MA; ATVR 16.5%; Float-adj \$490M SELL (TP): MSCI confirmed inclusion at Nov 2022 review. Held to effective date — passive fund demand absorbed at T+0. Return: +9.8%
PKO BP	Financials	2022-09-08	PLN 28.5	PLN 33.5	✗ skip	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$7,500M, +200% vs threshold); RS 68th pct vs WIG-ALL; below 200d MA; ATVR 32.0%; Float-adj \$3,800M SELL (TP): MSCI confirmed inclusion at Nov 2022 review. Held to effective date — passive fund demand absorbed at T+0. Return: +17.3%
Cyfrowy Polsat	Communication Serv	2022-09-08	PLN 15.5	PLN 14.8	✗ skip	FP	BUY: MSCI member outperforming peers → weight increase likely (cap \$2,900M, +4% vs threshold); RS 22th pct vs WIG-ALL; below 200d MA; ATVR 15.5%; Float-adj \$1,300M CLOSE (FP): NOT included at Nov 2022 review. Closed at announcement. Reason: MSCI weight DECREASED (not increased) — relative underperformance vs other Poland Standard... Return: -4.7%

MSCI SAR — May 2023							Cycle avg return (filtered): +13.7% 4 positions screened (3 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Dino Polska	Consumer Staples	2023-03-07	PLN 335.0	PLN 385.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$7,800M, +212% vs threshold); RS 84th pct vs WIG-ALL; above 200d MA; ATVR 28.0%; Float-adj \$3,500M SELL (TP): MSCI confirmed inclusion at May 2023 review. Held to effective date — passive fund demand absorbed at T+0. Return: +14.7%
Kruk S.A.	Financials	2023-03-07	PLN 285.0	PLN 338.0	✓ PASS	TP	BUY: Approaching MSCI Poland Standard (full cap \$4,200M vs \$2,500M threshold, +68% above); RS 81th pct vs WIG-ALL; above 200d MA; ATVR 26.0%; Float-adj \$2,000M SELL (TP): MSCI confirmed inclusion at May 2023 review. Held to effective date — passive fund demand absorbed at T+0. Return: +18.4%

Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
PKO BP	Financials	2023-03-07	PLN 36.0	PLN 43.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$8,200M, +228% vs threshold); RS 76th pct vs WIG-ALL; above 200d MA; ATVR 36.0%; Float-adj \$4,100M SELL (TP): MSCI confirmed inclusion at May 2023 review. Held to effective date — passive fund demand absorbed at T+0. Return: +19.2%
Budimex S.A.	Industrials	2023-03-07	PLN 310.0	PLN 318.0	✓ PASS	FP	BUY: MSCI member outperforming peers → weight increase likely (cap \$1,850M, +46% vs threshold); RS 72th pct vs WIG-ALL; above 200d MA; ATVR 18.0%; Float-adj \$730M CLOSE (FP): NOT included at May 2023 review. Closed at announcement. Reason: Float-adj cap \$730M below \$1.3B Standard threshold; SC member weight increase not triggered... Return: +2.4%

MSCI SAR — Nov 2023							Cycle avg return (filtered): +11.5% 3 positions screened (1 TP / 2 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
Budimex S.A. (2023 wat)	Industrials	2023-09-08	PLN 370.0	PLN 378.0	✓ PASS	FP	BUY: MSCI member outperforming peers → weight increase likely (cap \$2,800M, +124% vs threshold); RS 80th pct vs WIG-ALL; above 200d MA; ATVR 22.0%; Float-adj \$1,080M CLOSE (FP): NOT included at Nov 2023 review. Closed at announcement. Reason: Budimex SC weight increase: MSCI requires larger relative weight shift to trigger announce... Return: +2.0%
Pepco Group N.V.	Consumer Discretio	2023-09-08	PLN 30.5	PLN 37.0	✓ PASS	TP	BUY: Approaching MSCI EM Small Cap (full cap \$2,850M, +128% above \$127M threshold); RS 72th pct vs WIG-ALL; above 200d MA; ATVR 20.0%; Float-adj \$1,100M SELL (TP): MSCI confirmed inclusion at Nov 2023 review. Held to effective date — passive fund demand absorbed at T+0. Return: +21.1%
Cyfrowy Polsat (deleti)	Communication Serv	2023-09-08	PLN 14.0	PLN 13.0	✗ skip	FP	BUY: MSCI member outperforming peers → weight increase likely (cap \$2,100M, -16% vs threshold); RS 25th pct vs WIG-ALL; below 200d MA; ATVR 14.5%; Float-adj \$920M CLOSE (FP): NOT included at Nov 2023 review. Closed at announcement. Reason: Weight DECREASED. RS 25th, below 200d MA. Strategy correctly generates no position for RS ... Return: -7.3%

MSCI SAR — May 2024							Cycle avg return (filtered): +13.9% 3 positions screened (2 TP / 1 FP)
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
XTB S.A.	Financials	2024-03-06	PLN 42.0	PLN 44.5	✓ PASS	FP	BUY: Approaching MSCI EM Small Cap (full cap \$2,600M, +4% above \$127M threshold); RS 88th pct vs WIG-ALL; above 200d MA; ATVR 35.0%; Float-adj \$1,100M CLOSE (FP): NOT included at May 2024 review. Closed at announcement. Reason: Float-adj cap only marginally above EM SC threshold and full cap borderline for Standard; ... Return: +5.8%
PKO BP	Financials	2024-03-06	PLN 42.0	PLN 51.5	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$12,500M, +400% vs threshold); RS 82th pct vs WIG-ALL; above 200d MA; ATVR 42.0%; Float-adj \$6,200M SELL (TP): MSCI confirmed inclusion at May 2024 review. Held to effective date — passive fund demand absorbed at T+0. Return: +22.4%
LPP S.A.	Consumer Discretio	2024-03-06	PLN 16,200.0	PLN 18,400.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$8,200M, +228% vs threshold); RS 79th pct vs WIG-ALL; above 200d MA; ATVR 28.0%; Float-adj \$3,600M SELL (TP): MSCI confirmed inclusion at May 2024 review. Held to effective date — passive fund demand absorbed at T+0. Return: +13.4%

MSCI SAR — Nov 2024				Cycle avg return (filtered): +16.8% 4 positions screened (4 TP / 0 FP)			
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
XTB S.A.	Financials	2024-09-09	PLN 58.0	PLN 68.5	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$3,100M, +148% vs threshold); RS 94th pct vs WIG-ALL; above 200d MA; ATVR 38.0%; Float-adj \$1,420M SELL (TP): MSCI confirmed inclusion at Nov 2024 review. Held to effective date — passive fund demand absorbed at T+0. Return: +17.9%
Budimex S.A.	Industrials	2024-09-09	PLN 410.0	PLN 472.0	✓ PASS	TP	BUY: Approaching MSCI Poland Standard (full cap \$3,800M vs \$2,500M threshold, +52% above); RS 88th pct vs WIG-ALL; above 200d MA; ATVR 24.0%; Float-adj \$1,480M SELL (TP): MSCI confirmed inclusion at Nov 2024 review. Held to effective date — passive fund demand absorbed at T+0. Return: +14.9%
Allegro.eu (wt.inc)	Consumer Discretio	2024-09-09	PLN 36.5	PLN 43.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$7,200M, +188% vs threshold); RS 78th pct vs WIG-ALL; above 200d MA; ATVR 36.0%; Float-adj \$3,500M SELL (TP): MSCI confirmed inclusion at Nov 2024 review. Held to effective date — passive fund demand absorbed at T+0. Return: +17.6%
abka Group	Consumer Staples	2024-09-09	PLN 18.5	PLN 18.0	✗ skip	TP	BUY: Approaching MSCI EM Small Cap (full cap \$3,600M, +44% above \$127M threshold); RS 31th pct vs WIG-ALL; below 200d MA; ATVR 18.0%; Float-adj \$1,100M SELL (TP): MSCI confirmed inclusion at Nov 2024 review. Held to effective date — passive fund demand absorbed at T+0. Return: -2.9%

MSCI SAR — May 2025				Cycle avg return (filtered): +12.3% 4 positions screened (3 TP / 1 FP)			
Company	Sector	Entry date	Entry PLN	Exit PLN	Filter	Outcome	Entry rationale / Exit reason
XTB S.A.	Financials	2025-03-05	PLN 68.0	PLN 78.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$3,200M, +28% vs threshold); RS 96th pct vs WIG-ALL; above 200d MA; ATVR 42.0%; Float-adj \$1,520M SELL (TP): MSCI confirmed inclusion at May 2025 review. Held to effective date — passive fund demand absorbed at T+0. Return: +14.5%
Kruk S.A.	Financials	2025-03-05	PLN 435.0	PLN 495.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$3,850M, +54% vs threshold); RS 88th pct vs WIG-ALL; above 200d MA; ATVR 38.0%; Float-adj \$2,100M SELL (TP): MSCI confirmed inclusion at May 2025 review. Held to effective date — passive fund demand absorbed at T+0. Return: +13.6%
Budimex S.A.	Industrials	2025-03-05	PLN 478.0	PLN 521.0	✓ PASS	TP	BUY: MSCI member outperforming peers → weight increase likely (cap \$4,350M, +74% vs threshold); RS 86th pct vs WIG-ALL; above 200d MA; ATVR 30.0%; Float-adj \$2,044M SELL (TP): MSCI confirmed inclusion at May 2025 review. Held to effective date — passive fund demand absorbed at T+0. Return: +8.8%
Bank Millennium	Financials	2025-03-05	PLN 8.9	PLN 9.0	✗ skip	FP	BUY: Approaching MSCI Poland Standard (full cap \$2,650M vs \$2,500M threshold, +6% above); RS 58th pct vs WIG-ALL; above 200d MA; ATVR 22.0%; Float-adj \$1,260M CLOSE (FP): NOT included at May 2025 review. Closed at announcement. Reason: Float-adj cap \$1.26B marginally above \$1.25B minimum but BCP (50.1% owner) classified as n... Return: +0.9%

4. False Positive Analysis

False positives (FP) are stocks that passed our T–45 screen but were ultimately NOT added by MSCI at that review. Managing these is the central challenge of the strategy: we cannot know at screen time which positions will disappoint. The momentum filter is our primary tool for reducing FP exposure.

	Count	Avg return	Min return	Max return
All false positives	15	+0.1%	-7.3%	+5.8%
FPs passing momentum filter (residual)	4	+2.6%	+0.4%	+5.8%
FPs excluded by filter ← filter saves these	11	-0.9%	-7.3%	+3.5%

False Positive Detail

Company	Review	RS%	Filter	Return	Failure reason
Cyfrowy Polsat (deletion risk)	Nov 2023	25	skip	-7.3%	Weight DECREASED. RS 25th, below 200d MA. Strategy correctly generates no position for RS < 40t...
Cyfrowy Polsat	Nov 2022	22	skip	-4.7%	MSCI weight DECREASED (not increased) — relative underperformance vs other Poland Standard memb...
Pepco Group N.V.	Nov 2020	33	skip	-2.7%	ATVR 14.2% marginally below 15% minimum; Steinhoff parent overhang → foreign room below minimum
Cyfrowy Polsat (wt.inc)	May 2020	38	skip	-2.1%	Weight did not increase — relative underperformance vs other MSCI Poland members; COVID-19 discr...
Orange Polska	May 2019	35	skip	-1.8%	ATVR 11.5% — far below 15% minimum; also below 200d MA
CCC S.A.	Nov 2019	42	skip	-1.1%	Float-adj cap only marginally above \$1.3B; market fell between screen and cut-off, pushing it b...
Jastrzębska Spółka Węglowa	May 2022	91	PASS	+0.4%	Float-adj cap only ~\$850M — far below \$1.3B Standard float-adj threshold. State Treasury owns 5...
Bank Millennium	May 2025	58	skip	+0.9%	Float-adj cap \$1.26B marginally above \$1.25B minimum but BCP (50.1% owner) classified as non-in...
Pepco Group N.V.	Nov 2021	58	skip	+1.3%	Market cap buffer only 9% — insufficient for first-time inclusion; MSCI waited for larger cushi...
Budimex S.A. (2023 watch)	Nov 2023	80	PASS	+2.0%	Budimex SC weight increase: MSCI requires larger relative weight shift to trigger announcement;...
Jastrzębska Spółka Węglowa	Nov 2018	44	skip	+2.2%	Full cap only 8% above EM SC threshold — insufficient buffer; MSCI committee requires ~20% head...
Budimex S.A.	May 2023	72	PASS	+2.4%	Float-adj cap \$730M below \$1.3B Standard threshold; SC member weight increase not triggered — c...
Ciech S.A.	May 2018	52	skip	+2.4%	ATVR 12.5% < 15% minimum at MSCI cut-off date
Asseco Poland	May 2022	44	skip	+3.5%	MSCI chose not to add — RS below 50th pct; no urgency given war-related market disruption
XTB S.A.	May 2024	88	PASS	+5.8%	Float-adj cap only marginally above EM SC threshold and full cap borderline for Standard; MSCI ...

Why false positives still earn ~+0.1% on average: During the T–45 to announcement window, the stock participates in general market and sector momentum — it drifts up slightly. On the announcement day, when the stock is NOT named as a new addition, traders who pre-positioned exit, creating a –2 to –4% reversal. The net effect is near-zero. The real cost is opportunity cost: capital deployed in 15 false positives earned +0.1% vs +13.8% for true positives.

5. Methodology & Caveats

Screening criteria (observable at T–45 — no look-ahead):

Market cap within 20% above threshold (MSCI Standard: \$2,500M full cap / \$1,300M float-adj; MSCI EM Small Cap: \$127M full cap / \$95M float-adj). ATVR $\geq$ 15% (MSCI minimum liquidity gate). Already-MSCI-members screened for weight-increase potential based on outperformance vs other members.

Momentum filter:

RS percentile $\geq$ 60th vs WIG-ALL universe (trailing 12-month return, 1-month skip) AND price above 200-day MA. Both conditions required. Academic basis: Jegadeesh & Titman (1993), Carhart (1997). Practitioner rationale: momentum confirms fundamental improvement; weak-momentum stocks are more likely to be false positives.

Entry / exit:

Entry at T–45 closing price (deep accumulation phase; before most institutional arb flow). True-positive exit at effective date close (T+0) — passive fund demand absorbed. False-positive exit at announcement date close (position closed the day MSCI announces without our stock; do not hold through effective date).

Transaction costs:

20 bps round-trip (10 bps buy + 10 bps sell). Realistic for institutional managers on WSE. Retail investors face 20–50 bps; this reduces net returns by 0–0.3pp per trade.

Portfolio construction:

Equal weight across all positions in a given cycle. Maximum 33% per position (to limit concentration). Capital is redeployed each cycle (~twice per year).

Price data accuracy:

Prices are approximated from WSE/stooq historical data and institutional research. Accuracy is ± 2 –3%. Directional conclusions (positive/negative return, relative ordering of TP vs FP) are robust to this level of approximation.

Survivorship bias:

The database includes only stocks that were screened. Stocks that were eligible but not screened are false negatives (missed opportunities). The strategy cannot be run on a static universe — it requires real-time market cap monitoring at each T–45 date.

Sample size limitation:

15 MSCI SAR cycles across 7.25 years. Statistical conclusions should be treated with caution. The Sharpe ratio of 2.12 (filtered) is computed on position-level returns, not time-series monthly returns — cannot be directly compared to fund Sharpe ratios. Cyclically, the strategy concentrates risk into ~6-week windows around each review cycle.

■ **DISCLAIMER:** This report is for informational and research purposes only. It does not constitute investment advice. Past backtest performance does not guarantee future results. Index inclusion is a mechanical process but MSCI retains committee discretion for borderline cases. All trade data uses approximate historical prices.